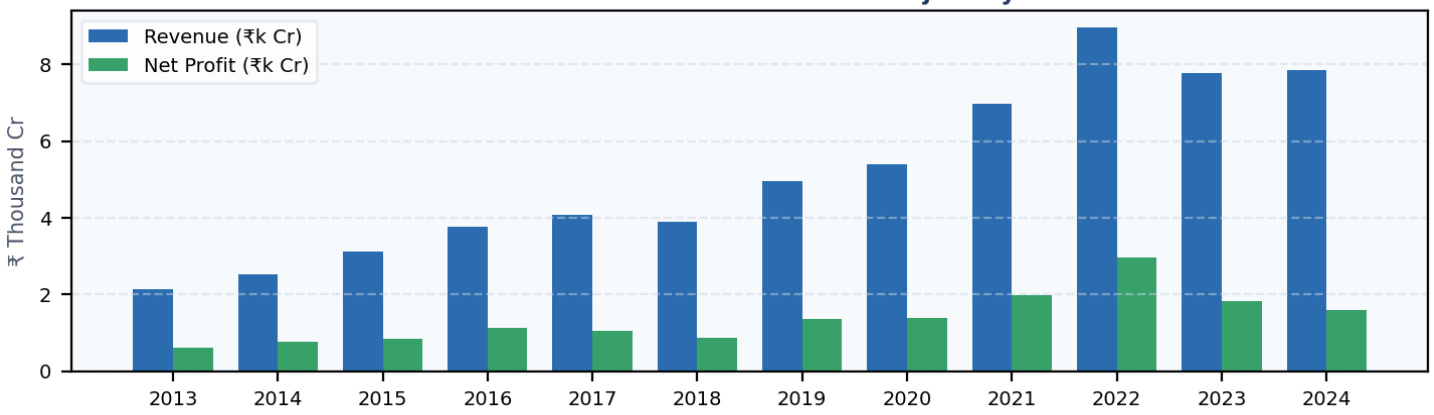
Divis Laboratories Ltd (DIVISLAB)

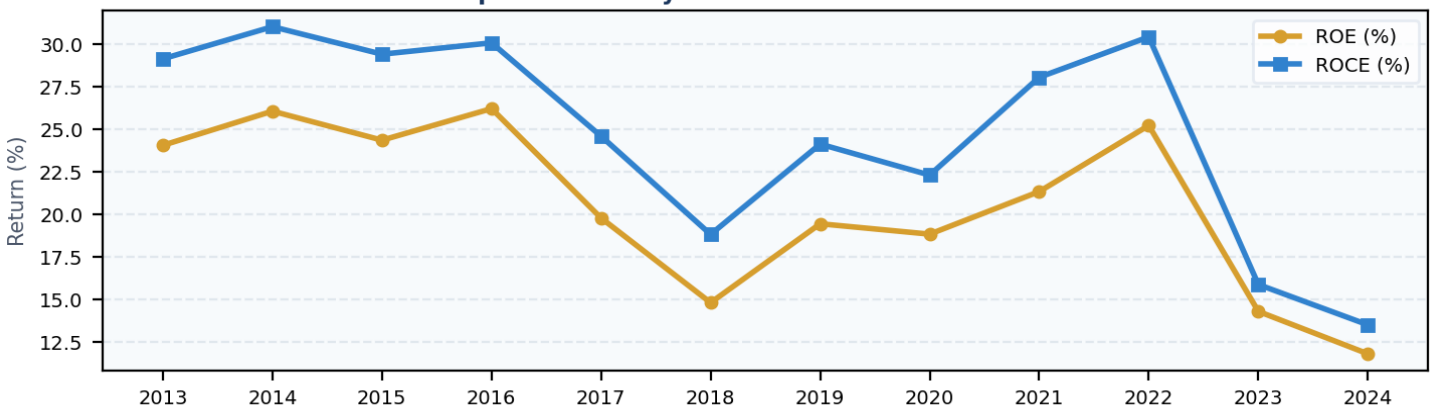
Sector: **Healthcare** | Sub-Sector: **Pharmaceuticals** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■1,615,029 Cr	70.0x	11.8%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
13.5%	0.00x	9.7%

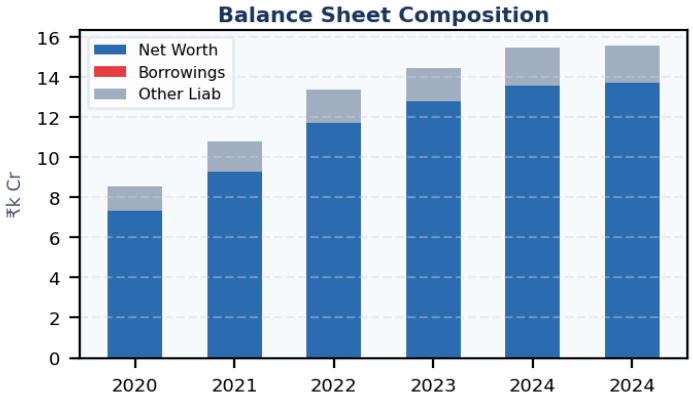
10-Year Revenue & Net Profit Trajectory

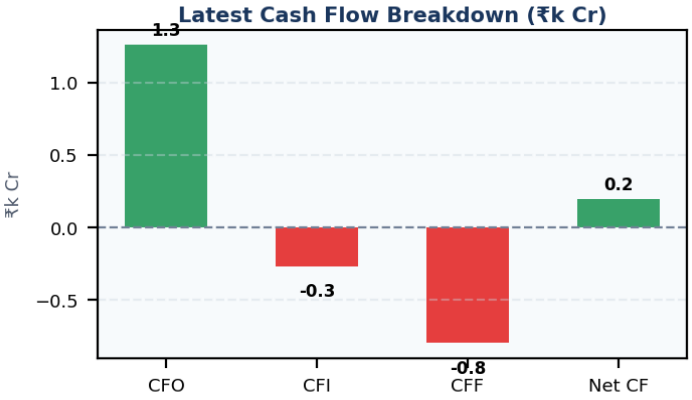


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Reinvestor / Debt Repayer





Key Strengths & Growth Drivers (Pros)

- **[+]** Debt-free balance sheet provides financial flexibility and eliminates interest burden
- **[+]** Operating profit margin above 25% indicates strong pricing power and cost discipline
- **[+]** Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risk Factors & Key Concerns (Cons)

- **[-]** Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- **[-]** Earnings per share declining for 3 consecutive years reflects deteriorating profitability